Hongyi Xu

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Education

Stockholm School of Economics — *Stockholm, Sweden*
Doctoral Program in Finance — 2021 - 2027

Australian National University — *Canberra, Australia*
Bachelor of Finance, First Class Honours — 2019 - 2020
Bachelor of Finance, Major in Capital Markets and Quantitative Finance — 2016 - 2019

Research Interests

Corporate Finance; Corporate Debt; Corporate Governance; Institutional Investors

Job Market Paper

The Expected Future Cash Flow Channel in Debt Financing

Abstract: This paper provides the first evidence that expected future cash flows increase firms' debt capacity independently of collateral values. I identify exogenous variation in expected future cash flows using new major product liability litigations involving firms' product-market peers. A 1% increase in sales increases net long-term debt issuance by 14.97% for the average Compustat firm, equivalent to 1.55% of average total debt. The effect cannot be explained by changes in investment opportunities or collateral values and is concentrated among firms with lower growth opportunities, tighter financial constraints, and lower asset tangibility. Firms experiencing positive expected future cash flow shocks increase investment and cash holdings, issue more unsecured debt, and borrow at lower bond yields, while leverage and shareholder payouts remain unchanged. These findings establish expected future cash flows as a distinct source of borrowing capacity and highlight an importance expected future cash flow channel in debt financing.

Working Papers

Should Insolvency Law Cover Non-Financial Obligations? Contract Rejection and Debt Capacity (*with Bo Becker and Jens Josephson*)

Abstract: Non-financial obligations created by long-term contracts such as leases are often large, exceeding financial debts in around a third of U.S. firms. Their treatment in insolvency varies: Chapter 11 allows firms to freely reject or assume contracts, but many other restructuring regimes do not allow rejection. We model regimes with and without the rejection option. This option prevents excessive liquidation of insolvent firms and increases firms' debt capacity. Using novel measures of executory contracts by industry, and two difference-in-difference settings, we confirm that leverage and loan flow increase when the rejection option is available.

Insider Trading Regulation, Blockholder Exit, and Governance Roles (*with Mengyu Yang*)

Abstract: This paper investigates how tightening insider trading regulations affects the governance roles of blockholders. Using the 2016 implementation of the Market Abuse Regulation (MAR) as a quasi-natural experiment, we examine how heightened disclosure requirements alter the composition and behaviour of key shareholders. We find that short-term, liquidity-focused investors reduce their board representation following stricter insider trading rules, while their presence on nomination committees remains unchanged. MAR also increases short-term blockholders' probability of board exit by 16-20 percentage points.

Under the Spotlight: How External Informed Traders Impact Share Repurchases (*solo-authored*)

Abstract: I examine how the participation of an external informed trader impacts managerial share repurchase decisions. I present a model with an external informed trader showing that managers tend to repurchase fewer shares when such a trader is involved. Empirically, I find a significant reduction in both share repurchase amounts and the probability of executing repurchases in response to increased firm-level abnormal institutional investor attention. These findings indicate that managers strategically abstain from repurchasing shares when their firms are under the spotlight.

Publication

A Portfolio-Level, Sum-of-The-Parts Approach to Return Predictability
with Dean Katselas and Jo Drienko, 2024, Journal of Empirical Finance 78, 101525.

Presentations and Conferences

2026 Corporate Governance Academic Forum - University of Toronto, Annual Conference on Asia-Pacific Financial Markets, SSE Brown Bag, 15th National PhD Workshop in Finance, Young Scholars Nordic Finance Workshop

2025 SSE PhD Seminar

2024 PhD Nordic Finance Workshop, SSE PhD Seminar

Research Experience

Research Assistant *Stockholm, Sweden*
Bo Becker 2022 - 2024
Ye Zhang 2021

Teaching Experience

Entrepreneurial Finance and Venture Capital *2024, 2025*
Teaching Assistant Stockholm School of Economics

Derivatives: Principles and Practices *2022, 2023*
Teaching Assistant Stockholm School of Economics

Honors and Awards

Chinese Government Award for Outstanding Self-Financed Students Abroad 2025
Gerhard Törnqvist Scholarship for the Best Published Paper 2025
Stiftelsen Louis Fraenckels Stipendiefond 2024 - 2026
Nordic Finance Network Travel Grant 2024
The Infina Foundation Research Grant 2023
Jan Wallander and Tom Hedelius Foundation PhD Research Grant 2021 - 2027
ANU University Medal 2020
ANU CBE Research School of Finance, Actuarial Studies and Statistics Honours Scholarship 2019
ANU Chancellor's Letters of Commendation 2016, 2018

Skills

Programming and Statistical Software: R, Stata, Python, LaTeX
Languages: Chinese (Native), English (Fluent)

References

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